Debt

This is an amount of money borrowed by one party from other parties. Borrowing is the way in which corporations and individuals make large purchases that would otherwise be unaffordable. They pay interest, a fee charged for the privilege of borrowing money, which is normally a percentage of the money borrowed. Banks and other financial institutions offer various different types of consumer debt products, ranging from bank overdrafts and credit cards to mortgages and loans.

Ways to borrow money

There are various institutions willing and able to lend consumers money, and each will offer a number of different financial products. Borrowers need to research the best options for their circumstances.

Loans

Personal loans allow consumers to borrow a lump sum of money that will be repaid at set intervals over a pre-agreed period of time. Loans can be secured or unsecured. *See pp.210–211*

- **Types of loans** There are many types such as car, student, debt consolidation, and payday loans.
- **Who offers loans** Banks, credit unions, and other financial institutions all offer loans.

Credit cards

These allow a type of revolving credit that allows users to make purchases without using their own money, which can be paid back monthly, or later for an additional fee. Transactions are processed by global payment networks. *See pp.218–219*

- **Installment credit** The opposite of revolving credit—the money is paid back in installments.
- **Dual-purpose cards** In some countries, banks issue cards with both debit and credit facilities.